

Public Finance under Empire

Colonial Transfers from British India, the Dutch East Indies, and French Indochina

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Introduction

Research question

How did transfers from colonial public finances to the metropole evolve, and how were their trajectories related to **state capacity and institutions**?

There was no single colonial trajectory: institutions shaped the scale, persistence, and even direction of recorded public transfers.

British India

increasingly regular external
fiscal charges

Dutch East Indies

persistent commodity-linked
transfers

French Indochina

volatile flows reversed by war

Colonial transfers

Colonial transfer

- Recorded external fiscal claims
- Net within each source's accounting boundary
- Positive when directed toward the metropole

$$F_{c,t}^* = P_{c,t}^{C \rightarrow M} - P_{c,t}^{M \rightarrow C}$$

Colonial drain

- Excess taxation
- Unequal exchange
- Imperial military diversion
- Accumulated foregone wealth

$F_{c,t}^* > 0$: outward claim
 $F_{c,t}^* < 0$: metropolitan contribution

Literature

Colonial drain	Colonial public finance	Balance of payments
Distinguishes recorded fiscal transfers from taxation, trade surpluses, and wider forms of colonial extraction. Naoroji (1901); Nogués-Marco (2021)	Emphasizes differences in fiscal capacity, revenue systems, and institutions across colonial states. Frankema (2010); Cogneau et al. (2021)	Reconstructs how merchandise trade surpluses were offset by net services, net foreign income, and net foreign transfers. Nievas and Piketty (2025)

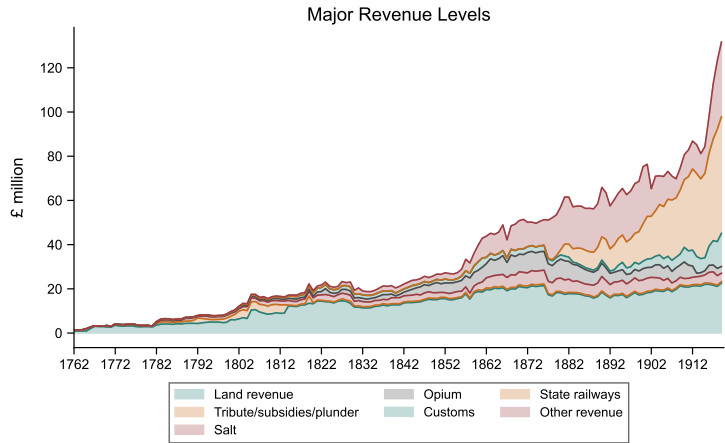
Contribution: a comparative framework brings colonial fiscal histories together without treating fiscal transfers as the entire colonial drain.

(A).—HOME CHARGES IN 1862-63.

		£.				£.	£.
DEBT:				Brought forward - - -		1,128,612	3,349,570
Dividends to Proprietors of East India Stock -		639,070		MILITARY—continued.			
Interest on Loans contracted in England -		1,550,000		Non-Effective Charges:			
Total Dividends and Interest - - -		-	2,179,970	Imperial Government for Troops serving in India - - -	£.		
CIVIL:				Retired Pay, including Colonels' Allowances - - -	805,000		
Charges, General Home Establishment, &c. -		162,500		Pensions, Lord Clive's Fund - - -	95,000		
Amount payable under the Postal arrangement -		70,000		Total Non-Effective Charges - - -	-	1,128,050	
Red Sea and India Telegraph Company, charge to India - - -		18,000		Total Military Charges - - -	-	-	2,256,662
Mission to the Court of Persia, charge to India - - -		12,000		MARINE:			
Her Majesty's Establishment in China, charge to India - - -		15,000		Pensions and Retired Allowances, Indian Navy, and Bengal Pilot Service - - -	27,100		
Miscellaneous (including India Office site and building 220,000 l. and new store warehouses 39,000 l. - - -)		339,500		Maritime Compensation - - -	18,900		
Pensions and Retired Allowances, viz:—				Furlough Absentee Allowances - - -	12,000		
Civil Pensions, including St. Helena Establishment - - -		223,000		Total Marine Charges - - -	-	-	58,000
Annuities of the Madras Civil Fund of 1813 - - -		4,800		Total Charges in England - - -	-	-	5,061,232
Furlough and Absentee Allowances - - -		92,500		DEDUCT RECEIPTS:			
Telegraph through Persia - - -		230,000		From Her Majesty's Treasury, on account of Charges of late China Expedition - - -	450,000		
Total Civil Charge - - -		-	1,169,600	From the War Office and other Public Departments in repayment of Advances in India on account of the Imperial Government - - -	70,446		
MILITARY:				Miscellaneous Receipts - - -	142,800		
EFFECTIVE CHARGES:				Interest from Investment of Cash Balance, &c. - - -	30,000		
Imperial Government for Troops serving in India - - -	£.	779,612		Total Receipts - - -	-	-	702,246
Passage of Troops - - -		89,000		Net Expenditure in England - - -	£.	4,961,986	
Passage and outfit of Officers - - -		40,000					
Furlough allowances - - -		250,000					
Total Effective Charges - - -		1,128,612					
Carried forward - - - £.		1,128,612	3,349,570				

Source: House of Commons Parliamentary Papers, Home Charges in 1862-63.

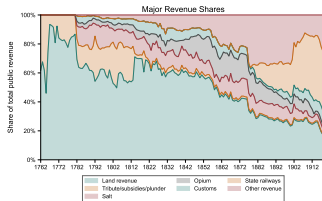
British India Revenues



Source: Author's calculations from British parliamentary financial statements.

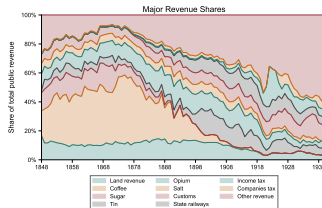
Revenue through different fiscal systems

British India



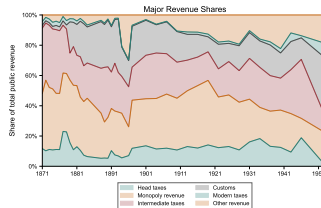
Land revenue lost its dominance as railway, customs, and other receipts expanded.

Dutch East Indies



Coffee and commodity income gave way to taxes, enterprises, and departmental receipts.

French Indochina

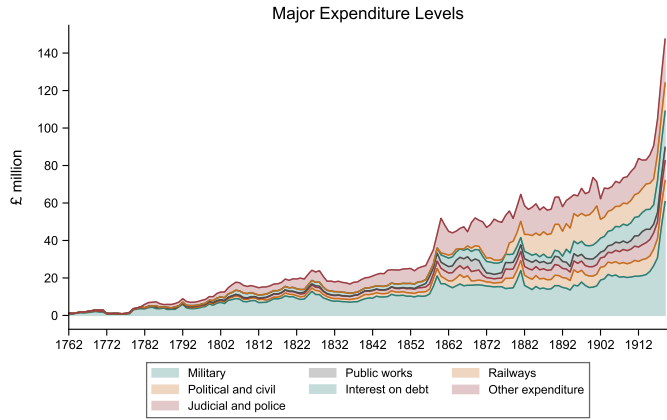


Monopolies and indirect taxation remained central; customs became more prominent later.

Fiscal diversification occurred in all three colonies, but through different institutions and revenue instruments.

Source: British parliamentary papers; Mansvelt and Creutzberg (1976); Cogneau et al. (2021).

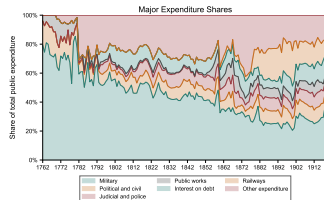
British India expenditure



Source: Author's calculations from British parliamentary financial statements.

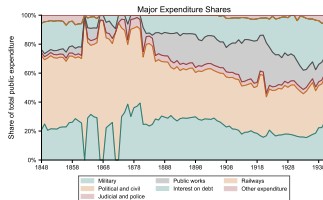
Expenditure through different fiscal systems

British India



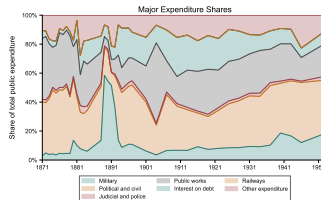
Military expenditure was dominant under Company rule and rose again during the First World War.

Dutch East Indies



Political and civil administration remained largest, with growing public works and debt charges.

French Indochina

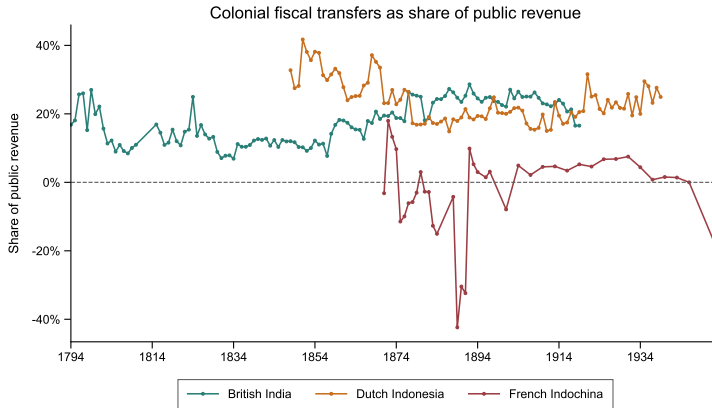


Spending was episodic: conquest raised military shares, while particular years were public-works intensive.

Spending on public works other than railways remained minimal across all three colonies.

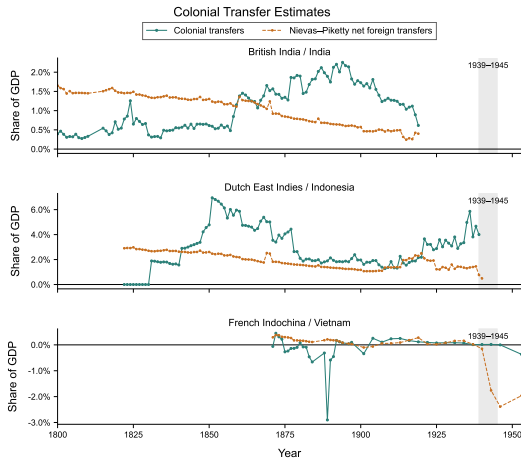
Source: British parliamentary papers; Mansvelt and Creutzberg (1976); Cogneau et al. (2021).

Transfer burdens



Source: British parliamentary papers; van der Eng (1993); Cogneau et al. (2021, 2026).

Fiscal and BoP measures



Source: Fiscal sources above; World Historical Balance of Payments, Nievas and Piketty (2025).

Empire-specific institutions

British India

Transfers from British India became increasingly institutionalized through regular home charges.

Not implied: early Company rule was milder or less coercive.

Dutch East Indies

Commodity production and the *batig slot* connected colonial surpluses directly to metropolitan remittances.

Not implied: Dutch rule imposed the greatest overall colonial burden.

French Indochina

Metropolitan military expenditures periodically exceeded colonial contributions.

Not implied: wartime inflows benefited colonized households.

Informative, and bounded comparison

What the evidence supports

- Direction and approximate magnitude
- Persistence and volatility
- Institutional mechanisms grounded in historical evidence
- Broad correspondence with external accounts

What it does not identify

- A causal effect of state capacity
- Exact ranking using fully comparable accounts
- Who ultimately paid and the resulting welfare loss
- The complete colonial drain

Colonial transfers as state instrument

1. **Empirical contribution:** a British Indian fiscal series reconstructed from parliamentary accounts and harmonized with Dutch and French evidence.
2. **Comparative finding:** British, Dutch, and French transfers followed different paths rather than a common colonial model.
3. **Interpretation:** greater state capacity enabled more systematic outflows, while institutions determined the mechanisms through which those transfers occurred.

The expansion of imperial state capacity made colonial economic surpluses increasingly available to the metropolises, but through empire-specific institutions.

Thank you

Questions and discussion

Takeaway: colonial institutions shaped the scale, persistence, and direction of colonial transfers.

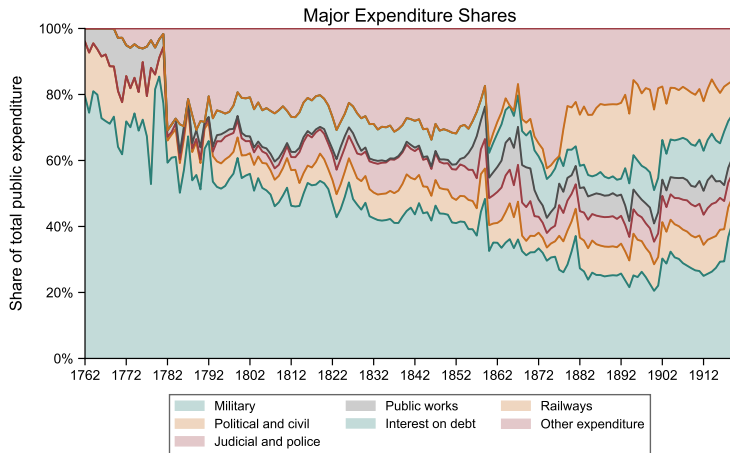
Backup: What enters each colony's transfer series

Case	Observed numerator	Netting boundary and limitation
British India	Tribute or procurement-related claims (1794–1810); net Company charges in England (1815–1859); gross England expenditure proxy (1860–1876); net home charges (1877–1919).	England-side receipts are deducted where available. The series spans four accounting regimes, including one gross proxy.
Dutch East Indies	Reconstructed colonial-drain measure, including remitted colonial surpluses and other external fiscal claims.	Netting follows the historical reconstruction; its coverage is broader than Indian home charges or the French public-flow balance.
French Indochina	Signed net public fiscal flow between Indochina and France.	Colonial contributions are balanced against metropolitan public expenditure; military spending can produce net inflows.

Positive values indicate colony-to-metropole claims; negative values indicate net metropolitan contributions.

Source: British parliamentary papers; van der Eng (1993); Cogneau et al. (2021, 2026).

Backup: British expenditure remained military-intensive



Source: Author's calculations from British parliamentary financial statements.

Backup: The British transfer indicator changes with accounting regimes

Period	Indicator	Interpretation
1794–1810	Total tribute and procurement-related claims	Early Company fiscal-commercial relationship
1815–1859	Net Company charges in England	England-side claims net of reported receipts
1860–1876	Gross England expenditure	Flagged proxy because a continuous net series is unavailable
1877–1919	Net England or home charges	Principal net Crown-period indicator

Proxy check

In 1862–1863, gross England charges exceeded net expenditure by 14.2% of net. Later gross-to-net differences range from 1.2% to 14.7%.

Backup: Military mobilization is context, not part of the transfer total

Observed scale

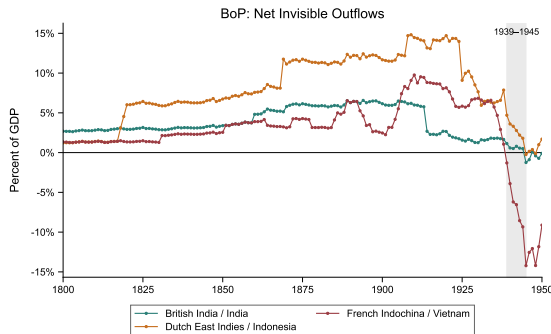
- British Indian military expenditure rose from about £21.8m in 1914 to £60.7m in 1919.
- 1,096,013 Indian personnel were sent overseas between August 1914 and December 1919.

Why it is kept separate

- Aggregate military accounts mix territorial defence, internal security, and overseas deployment.
- British reimbursements and home-charge items must be deducted to avoid double counting.

The evidence identifies imperial fiscal opportunity cost, not a complete additional transfer estimate.

Backup: Broader external accounts support the comparative ordering



- Dutch invisible outflows are the most persistently high.
- British outflows are lower and comparatively stable.
- French flows show the sharpest wartime reversal.

Source: World Historical Balance of Payments, Nievas and Piketty (2025).

Backup: Fiscal transfers and external accounts are related but not additive

$$CA_t = NTG_t + NTS_t + NFY_t + NFT_t$$

Fiscal evidence

Identifies public claims such as tribute, home charges, remitted surpluses, and signed public flows.

Balance-of-payments evidence

Classifies payments across services, foreign income, formal transfers, and goods.

A merchandise surplus used to finance home charges is the means of settlement, not a second transfer.

Backup: Selected references



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